

Retail Sales Data Analysis and Business Recommendations

1. Stock Management:

- a. The average stock per product is around 49-50 units.
- b. The 7-day return policy category has the highest average stock (50 units per product), indicating either lower demand or higher return rates.

2. Pricing & Discounts:

- a. Minimum product price: ₹10.18
- b. Maximum product price: ₹999.75
- c. Average price: Between ₹497 to ₹509, varying by return policy.
- d. 30-day return products have the highest average price (₹508.49), suggesting premium pricing is linked to longer return policies.
- e. 7-day return products have the highest average discount (25.89%), meaning retailers may be using discounts to push these sales.

3. Customer Ratings & Return Policies:

- a. Weighted average rating across all return policies: ~2.99/5, which is relatively low.
- b. The 7-day return category has the highest weighted rating (~2.9928/5), showing that customers may prefer shorter return policies over longer ones.

Final Recommendations Based on Data:

1. Optimize Pricing & Discounts:

- a. Re-evaluate discounts on 7-day return products to avoid over-discounting and potential revenue loss.
- b. Ensure premium-priced products offer more value (e.g., extended warranties, better return conditions).

2. Improve Customer Satisfaction:

- a. Investigate why ratings are low (~2.99/5)—potential reasons could be product quality, service, or delivery issues.
- b. Collect customer feedback and improve the post-purchase experience.

3. Refine Return Policies:

- a. Shorter return policies (7 days) seem to build customer confidence, but they may also be linked to higher returns.
- b. Introduce exchange options instead of refunds to retain revenue and reduce losses.

4. Inventory Management Adjustments:

- a. Use demand forecasting to reduce excess stock in lower-demand categories (7-day return products).
- b. Ensure high-demand products remain well-stocked to prevent lost sales opportunities.

Conclusion:

By refining pricing, discount strategies, and return policies, the business can increase profitability and customer trust. Additionally, understanding customer feedback and optimizing inventory will help create a more efficient retail sales strategy.